# Highest and Best Use Problems in Market Value Appraisals

*by Mark R. Rattermann, MAI, SRA*

There are many highest and best use problems associated with residential appraisals today. This edition of "Residential Appraising" discusses three significant problems related to highest and best use that residential appraisers may encounter in assignments.

## Highest and Best Use and Land Value

As most residential appraisers know, secondary-market lenders are not encouraging use of the cost approach any more. This appears to be the source of at least one significant problem in market value appraisals.

In the majority of market value appraisals, practitioners are required to develop an opinion of highest and best use. Standard 1 of the Uniform Standards of Professional Appraisal Practice (USPAP) addresses the specific requirements related to an opinion of highest and best use.

> **Standards Rule 1-3**
> When necessary for credible assignment results in developing a market value opinion, an appraiser must:
> (a) identify and analyze the effect on use and value of existing land use regulations, reasonably probable modifications of such land use regulations, economic supply and demand, the physical adaptability of the real estate, and market area trends; and
> *Comment*: An appraiser must avoid making an unsupported assumption or premise about market area trends, effective age, and remaining life.
> (b) develop an opinion of the highest and best use of the real estate.
> *Comment:* An appraiser must analyze the relevant legal, physical, and economic factors to the extent necessary to support the appraisers highest and best use conclusion(s).[1]

What does this mean? It implies that if an appraiser prepares an opinion of market value then a highest and best use opinion is also required. But if that is required, then is an analysis of the value of the land as though vacant and as improved also required?

This brings us to the problem with omission of a cost approach. If the appraiser does not value the land as though vacant in a highest and best use analysis, how can the appraiser know when it is time to remove the improvements? In other words, will the lack of a cost approach and the accompanying land value ($V_L$) cause an appraiser to misread the highest and best use as though vacant and as improved. Example 1 illustrates how this difficulty may arise in an assignment.

> **Example 1**
> The subject real estate is located in a municipality where zoning is broad based and allows both residential and commercial uses in areas with commercial zoning. This allows many houses to be built on commercial land. The subject is a two-acre corner site with commercial zoning located adjacent to two thoroughfares. It is improved with a 22-year-old residence and an attached garage. The market data implies this property would sell to a residential buyer for $200,000, but would sell to a commercial land buyer for $250,000. The cost of demolition is only $15,000. The property has a higher market value as vacant land than it does as an improved property. However, if the residential appraiser does not prepare a site value opinion as though vacant, how will he or she ever know the true market value?

This is not to say that a precise land value opinion is needed in all market value appraisals, only that having no land value opinion is probably inadequate. In most residential appraisals, the land value will

1. Appraisal Standards Board, *Uniform Standards of Professional Appraisal Practice*, 2008–2009 ed. (Washington, DC: The Appraisal Foundation), Lines 541–550.



Reproduced with permission of the copyright owner. Further reproduction prohibited without permission.

not be close to the improved value so even a rough number will be adequate. However, if the standard procedure does not include a land value, the appraiser may not know when it is close to the improved value. Remember, all land value opinions are as though vacant, which means the land value cannot suffer because of the improvements on the site.

## Residential Appraisals with Commercial Highest and Best Use

A second problem residential appraisers may encounter with highest and best use analysis arises when the residential appraiser accepts an appraisal assignment without knowing the highest and best use is commercial or industrial, not a 1-4 unit residential use. The problem is that in most states residential appraisers cannot appraise properties with a highest and best use as commercial or industrial (for federally related transactions). However, the commercial or industrial use may not be discovered until the appraiser has developed a highest and best use opinion. Example 2 describes such a situation.

> **Example 2**
> Suppose the assignment for the subject described in Example 1 was given to a residential appraiser by a local mortgage broker, and the broker asked the appraiser to complete a standard Uniform Residential Appraisal Report (URAR) and to follow Fannie Mae guidelines and USPAP. The appraiser then completed some preliminary data search and inspected the subject property. The appraiser prepared the first two pages of the URAR and was fairly confident that the value was $200,000. However, when the appraiser researched the land sales, the higher land value became obvious. The appraiser then had to inform the client that he was not licensed to do a commercial land appraisal, which meant declining the job after he had accepted it and completed some work.

This scenario brings up obvious contract problems, not to mention timing issues for the client. It may be necessary for the appraiser to associate with another appraiser with the correct certification and experience to complete the project competently and on time.

## Market Value and Use Value

The highest and best use issues shown in the examples bring to light a third potential problem. It is possible that the client may ask the appraiser to appraise the subject as a house. Suppose both the applicant and lender want the appraiser to do this. If the appraiser "appraises it as a house," is that still market value?

Looking at the definition of *market value* provides some guidance on this issue. The definition used by Fannie Mae and Freddie Mac, as well as the Department of Housing and Urban Development for FHA mortgages, states as follows:

> *Market value* is the most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller, each acting prudently, knowledgeably and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and acting in what they consider their best interests; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.[2]

Notice this definition of market value does not say "for residential purposes" or "assuming a residential highest and best use." Also, the language in section (2) of the definition states the buyer and seller are well informed, which implies that they would know about the property's higher potential. Section (2) further states that the buyer and seller are acting in their own best interests. This implies they would sell the property for the higher amount if they could (a logical assumption in most cases).

If the appraiser prepares an appraisal report on a property, but assumes it has residential highest and best use when it actually has a commercial highest and best use, is the value reported a market value? To make this issue a little clearer, let us look at the definitions of *use value* and *exchange value*.

*The Dictionary of Real Estate Appraisal* defines *use value* as follows:

> 1. In economics, the attribution of value to goods and services based upon their usefulness to those who consume them.
> 2. In real estate appraisal, the value a specific property has for a specific use; may be the highest and best use of the property or some other use specified as a condition of the appraisal; may be used where legislation has been enacted to preserve farmland, timberland, or other open space land on urban fringes.[3]

2. See Appraisal Institute, *The Dictionary of Real Estate Appraisal*, 4th ed. (Chicago: Appraisal Institute, 2002), 177–178.
3. Ibid., 303.



Reproduced with permission of the copyright owner. Further reproduction prohibited without permission.

*Exchange value* is defined as follows:

> In economics, the attribution of value to goods or services based on how much can be obtained for them in exchange for other goods and services. Market value as an appraisal concept is a type of exchange value.[4]

A reading of these definitions along with the market value definition implies that the price the subject would bring under highest and best use would include the higher commercial value. However, a sale for residential usage would be use value, and therefore not reportable on a URAR where market value is the defined value.

If market value assumes the seller would try to market the property to the buyer that would pay the most, then the market value of a property with higher commercial value would have to be in that use, which means a market value opinion using residential comparables would be erroneous.

What is the problem with mislabeling use value as market value? In addition to being inconsistent with many rules and regulations of government and banking regulators, it is also misleading. Example 3 shows a situation where a problem could occur.

> **Example 3**
> An appraiser was asked to develop an opinion of market value for a 1.5-acre site located next to a busy street. It is zoned commercial, but was improved with a residence. The appraiser researched sales and found that if the subject were sold for residential usage it would be worth $200,000, but if it were sold for commercial usage it would be worth $400,000. The client was a local mortgage broker who asked the appraiser to "just appraise it as a residence; the loan is not that big, it will not matter." The appraiser did and the loan closed. The homeowner died after an automobile accident two days later. The executor of the estate was his daughter who lived in another city. She was told by the local attorney that he had just had an appraisal done so there was no reason to get another one. She agreed and they used the appraisal for settlement of the estate. A month later the daughter received an offer on the property for $225,000. Since it was higher than the appraisal, she accepted it. Six months later she came to the city on other business and noticed that the house was gone and a new commercial building was in its place.
>
> She researched what happened and found the person to whom she sold the property had sold it within a month for nearly double the original sale price. The daughter feels she was cheated. Her attorney agrees.

The first problem here is the misuse of an appraisal report by an unintended user. Although unintended uses and users are not the responsibility of the appraiser, the ramifications of reliance by an unintended user are potentially undesirable.

4. Ibid., 104.

The second problem is the mislabeling of use value as market value. The subject property was not a house or vacant land, but the rights (fee simple) to a real estate parcel. The opinion of market value is developed within the highest and best use analysis. In this case, the market value was confused with use value, and the market value was higher than the use value.

## Conclusion

The discussion in this article leads to several logical conclusions regarding highest and best use and market value.

First, each and every market value appraisal should have at least a rough opinion of the market value of the land as though vacant.

Second, residential appraisers should do a preliminary analysis of any property they are asked to appraise before they accept the assignment. Alternatively, they need to add a caveat to their contracts for services specifying that the contract is void if the property's highest and best use is not 1–4 unit residential.

Third, an appraiser should not develop an opinion of use value and then mislabel it an opinion of market value because of a request by the property owner or lender. If an appraisal report indicates the value conclusion is market value, the conclusion should be market value.

**Mark R. Rattermann, MAI, SRA,** is a senior partner with Education REsource, LLC, a real estate appraisal firm in Indianapolis. He is active in the Appraisal Institute education program, as both an instructor and course developer, and he has served as a member of the Appraisal Institute's Education Committee and as chair of the Seminar Committee. Rattermann also teaches at various real estate schools, trade associations, and community colleges in Indiana. He was the recipient of the Appraisal Journal Editorial Board's Swango Award in 2005, and is the author of a number of books, including *Valuation by Comparison: Residential Analysis* and Logic, and *The Student Handbook to The Appraisal of Real Estate.* **Contact: Education REsource, LLC, 9247 N. Meridian Street, Suite 325, Indianapolis, IN, 46260; T 317-581-0557; F 317-816-9449; E-mail: Mark@educationresource.com**



Reproduced with permission of the copyright owner. Further reproduction prohibited without permission.